

ADIC Communications Timeline

Chronological record of the ADIC relationship through written performance diligence, 9–10 June 2026 · 6 July 2026

Late February 2026

Initial contact (background)

Early sizing intelligence: a \$100 to \$300 million ticket, core around \$250 million, open to both an SMA and a commingled fund.

8 April 2026

First diligence call

Arjun Baskaran, Nick Johnston

POSITIONS

Longs walked — **BMRN** (largest), **ELVN** (roughly a \$2 billion drug, data in 2029), **NUVL**, **CAPR** (management the perceived risk), **AMLX**, **PCVX**; the **TERNS** takeout realized. Detractor — **MNKD** (long), a roughly 1 percent February loss after partner United Therapeutics announced a competing inhaled device.

CONSTRUCTION

Nets kept tight, gross around 144 percent; the short book was tactically driven entering April (the fundamental shorts had played out in January), not structural. A \$200 million hard cap was set for the July close, with a November window.

MARKET

Soren's framing — biotech the most rational healthcare sector in March; six takeouts expected September through December; JHC realized a March takeout (TERNS, roughly a 5 percent premium) while keeping nets tight.

12 May 2026

In-office IDD visit

CIO Shiv Srinivasan and roughly six team members; Arjun virtual

CONSTRUCTION

At least half the book is commercial, and JHC is more likely to short binaries than own them. Sizing caps: longs 15 percent cost and 17 percent market, shorts 10 percent cost and 12 percent market. Management quality is assessed as a binary factor, which resonated strongly with Shiv. The book is not organized by disease area, though it tilts toward oncology and I&I for takeout probability; JHC would consider Japan.

POSITIONS

Biggest short is **LLY** (we are short GLP-1s, period); would short **Moderna**; dislikes **BEAM** but would not size a large short given the small cap; short **WST** versus long **HIMS** as a cross-sector example. Longs discussed: **AMLX** (late-third-quarter trial), **ELVN** (35 percent IRR, takeout candidate), **TRVI** (chronic cough), **BMRN** (below DCF, \$52 to \$80, roughly 12 percent of NAV), **GILD** and **UCB** (buying); **ERAS** and **Revolution Medicine** in the day-one book.

MARKET

Biotech has been ADIC's best-performing asset class for two years; portfolio biotech beta is roughly 0.2; the double-digit net-return mandate and the net-exposure lean are acceptable. Discussed run-up-trade dynamics. Soren noted he has never wanted to short biotech less, but LLY is a structural GLP-1 short, not a biotech short, and the longs have been held since day one.

MATERIALS

Shared the coverage-universe handout, the top-five longs snapshot, and the ELVN case study. (Keep straight: coverage stated as 200 names verbally versus 250 in the handout.)

2 June 2026

IDD analyst call — Elizabeth Leitner

Arjun, Nick

CONSTRUCTION

The philosophy skews to valuation shorts over event-driven shorts, with disciplined entry and a required margin of safety; there is no fixed multiple rule (not 4x peak sales or 20x EPS).

POSITIONS

INSM (a hype phase expected to meet reality), **Madrigal**, **Exelixis** (added to the short on the way up), and **ALNY** (put on, taken off, and re-entered).

MARKET

Hype-cycle-versus-reality in high-multiple names, and sentiment-driven multiples, were the throughline.

REQUEST

Full long and short coverage list, positions of size, the large-long theses (what the market is missing), and how EL engages Soren.

Early June 2026

IDD analyst calls — Adam Czekanski & Elliot Xu

POSITIONS

Elliot pitched **ABVX** short; Soren instead sees a \$2 to \$3 billion drug and was not eager to press the short after the move.

IC-referral call — Abdulrahman Al-Humaidhi (ED)

with Arjun

POSITIONS

BMRN (conviction it can be 50 percent or more higher in a year; cheap because historically poorly run, with Voxzogo competition coming, but survey work supports growth); **IBRX** (monumentally overvalued, with meme-stock traits); **TRVI** (GSK readout coming); **TEVA** (short); **PCVX** (flipped).

CONSTRUCTION

BMRN sized at low double digits of book risk, reaching 15 percent only with a pivoting catalyst; a very large short is roughly 10 percent risk contribution; longs are held with low turnover while shorts trade frequently; IBRX kept under 3 percent to preserve room to defend; catalyst and value are not two separate buckets.

MARKET

Voxzogo competitive dynamics; meme-stock and retail overvaluation on the short side; JHC's AI tooling as a process edge.

OUTCOME

Internal approval to proceed to IC — full steam ahead.

9–10 June 2026

Written performance diligence

Marty to Arjun and Nick

MATERIALS

April and May tear sheets, the May investor report, the May attribution report, an organizational-cost estimate, and the GP commitment (roughly 3 percent).

ATTRIBUTION

The two months were the short book fighting the tape on large-caps — **LLY** and **EXEL** together account for roughly \$19 million of year-to-date losses — partially offset by idiosyncratic long wins (GILD, TRVI, PHVS, BCAX) and working shorts (PCVX, INCY). The biggest longs, BMRN, VRTX, and AMLX, were all year-to-date losers with theses intact but uncatalyzed. **April +2.00 percent** (CAPR up 13 percent over two weeks, NUVL strong, BMRN late-positive on the Amicus news; offset by LLY up roughly 10 percent intraday on 30 April on a 56 percent revenue beat and a roughly \$2 billion guidance raise, and a brief HIMS squeeze after the 23 April LLY partnership). **May -2.34 percent** (LLY up roughly 14 percent to all-time highs near \$1,100; BMRN up 8 percent on 21 May Voxzogo Phase 3 hypochondroplasia data; AMLX flat pending LUCIDITY; HIMS down 11 percent on the 11 May miss).

CONSTRUCTION

Nets kept tight throughout; commercial emphasis; longs held since day one.

MARKET

LLY was the dominant driver in both months, a structural GLP-1 short rather than a biotech short, against a degrossing and AI-rotation backdrop.